24NNCV06558 24NNCV06558

County: los-angeles

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Case Number: 24NNCV06558 Hearing Date: August 28, 2026 Dept: B

Hon. Victor Avila, Dept B

Demurrer to Cross-Complaint; Motion to Strike

Hearing Date: 8/28/26

CASE NO.: 24NNCV06558

CASE NAME: Got
Liens, Inc. v. Zeb Medical Corp., Inc., et al.

Moving Party: Cross-Defendant Got Liens, Inc.

Responding Party: Cross-Complainant Zeb Medical Corp., Inc.

Notice: Sufficient

Ruling: Demurrer
OVERRULED. Motion to Strike GRANTED in part.

NOTICE

The
Court is not requesting oral argument on this matter/motion. The Court is guided by California Rules of
Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the
Tentative Ruling, no argument is requested and ANY PARTY SEEKING ARGUMENT
SHOULD NOTIFY ALL OTHER PARTIES AND THE COURT BY 4:00 P.M. ON THE COURT DAY
BEFORE THE HEARING of the party’s intention to argue as to this

matter/motion. The tentative ruling will become the ruling of the court if no argument is received. Notice may be given either by email at or by telephone at (818) 260-8422.

Parties must appear on all other matters scheduled for this case.

BACKGROUND

This is a breach of contract action. On February 6, 2023, plaintiff Got Liens (Plaintiff/Cross-Defendant) and defendant Zeb Medical Corp., Inc. (Defendant/Cross-Complainant) allegedly entered into a Business Development Agreement under which Plaintiff would provide business development, scheduling, and lien negotiation services, and Defendant would pay Plaintiff a percentage of amounts collected on liens for patients referred by Plaintiff.

On December 13, 2024, Plaintiff filed this action alleging that they referred more than five hundred patients and Defendant accepted the referrals but refused to pay the percentage due.

On June 9, 2025, Defendant filed a Cross-Complaint alleging breach of oral contract, breach of implied in fact contract, breach of the implied covenant of good faith and fair dealing, and promissory fraud. Defendant alleges that Plaintiff, Alex Beckian and Alam Reyes failed to provide numerous services under the contract, such as business development services and marketing and related services.

On November 21, 2025, the Court sustained Plaintiff's demurrer to the Cross-Complaint in part. On April 1, 2026, Defendant filed a First Amended Cross-Complaint (FACC).

On May 27, 2026, Plaintiff filed the instant demurrer and motion to strike as to Plaintiff's FACC. On August 13, 2026, Defendant filed an opposition. On August 21, 2026, Defendant filed a reply.

LEGAL STANDARD

“[A] demurrer tests the legal sufficiency of the allegations in a complaint.” (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

Further, the court may, upon motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a).) The court may also strike all, or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) The grounds for a motion to strike are that the pleading has irrelevant, false, or improper matter, or has not been drawn or filed in conformity with laws. (Code Civ. Proc., § 436.) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment”]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment.”]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

DISCUSSION

Meet and Confer

Code of Civil Procedure section 430.41 requires that before the filing of a demurrer the moving party “shall meet and confer in person or by telephone” with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (Code Civ. Proc. § 430.41(a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Code Civ. Proc. § 430.41(a)(2).) Thereafter, the moving party shall file and serve a declaration detailing their meet and confer efforts. (Code Civ. Proc. § 430.41(a)(3).)

Plaintiff’s counsel declares they met and conferred with Defendant’s counsel on May 4, 2026, but were unable to come to an agreement. (Wolk Decl., ¶ 3.) Defendant does not address meet and confer efforts.

Based on declaration of Plaintiff’s counsel, the parties have complied with meet and confer requirements.

Demurrer

Plaintiff demurs to the fourth cause of action for promissory fraud in the FACC on the grounds that Defendant fails to state facts sufficient to constitute a cause of action. (Mot., p. 2.)

Promissory Fraud

“Promissory fraud is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud.

The elements of promissory fraud (i.e., of fraud or deceit based on a promise made without any intention of performing it) are: (1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; (5) nonperformance by the party making the promise; and (6) resulting damage to the promise." (Behnke v. State Farm General Insurance Co. (2011) 196 Cal.App.4th 1443, 1453, citation and quotation marks omitted.)

The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of "liberal construction" of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiffs must plead the names of the people allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Plaintiff argues that the promissory fraud claim is duplicative of contract claims stated in the Defendant and is not pled with specificity required of a cause of action for fraud. (Dem., p. 6.) Further, Plaintiff argues that tort remedies are not available for disputes arising from nonperformance of contract promises absent violation of an independent duty in tort. (Ibid.) Plaintiff argues that promissory fraud requires lack of present ability or intent to perform at the time the promise was made, but Defendant does not allege such facts with specificity. (Ibid.) Plaintiff argues that the allegation that they lacked ability, expertise, or experience and never intended to perform does not create an independent duty in tort either. (Dem., p. 7.)

In opposition, Defendant argues that the allegations go beyond basic nonperformance because Plaintiff and their employees made representations during several meetings and those representations were false when made because Plaintiff lacked the ability, expertise, and experience to provide the promised services. (Opp., p. 3.) Defendant argues that the representations were made to induce them into the agreement, and Defendant relied on those representations by performing under the impression that Plaintiff would perform their obligations. (Ibid.) Had they known Plaintiff would not perform, Defendant argues they would not have entered the agreement. (Ibid.) Defendant argues that these facts support a claim for promissory fraud. (Ibid.) Lastly, Defendant argues that under Lazar v. Superior Court, the Court rejected the contention that the existence of a contractual relationship precluded recovery for fraudulent inducement. (Opp., p. 4; Lazar, supra, 12 Cal.4th at pp. 638-646.)

In reply, Plaintiff argues that the Lazar case differs from the instant action because in Lazar, the plaintiff alleged additional damages beyond those in his employment contract which he alleged the employer had induced him into by engaging in promissory fraud. (Reply, p. 2.) Here, Plaintiff alleges that Defendant's only damages arise from the contract. (Ibid.) Further, Plaintiff reiterates that Defendant has not pled any specific detrimental reliance necessary to state a cause of action for promissory fraud. (Ibid.)

Here, Defendant sufficiently pleads a cause of action for promissory fraud in the FACC. Akin to Lazar, as Plaintiff points out, here Defendant alleges that the promissory fraud induced them into entering the contract in the first place, which they would not have done absent Plaintiff's misrepresentations. (FACC, ¶¶ 38, 40.) This goes beyond a mere allegation of non-performance. As the court in Lazar explains, "a misrepresentation not aimed at [breach] but instead designed to induce [a party] to alter detrimentally his or her position in some other respect, might form a basis for a valid fraud claim even in the context of a [breach]." (Lazar, supra, 12 Cal.4th at 640.) Although Lazar took place in the employment context, the court was contemplating contract and tort damages. (Ibid.) "[I]n cases of promissory fraud . . . both the breach [of contract] and the fraud leading to the breach are separately actionable." (Id. at 641.)

Further, questions surrounding whether Plaintiff knowingly misrepresented or whether Defendant detrimentally relied on Plaintiff's representations are factual inquiries a demurrer is not meant to address.

Accordingly, Defendant's demurrer to the fourth cause of action is OVERRULED.

Motion to Strike

Plaintiff moves to strike punitive damages as to the third and fourth causes of action in the FACC. (Mot., p. 2.)

Punitive damages may be recovered upon a proper showing of malice, fraud, or oppression. (Civ. Code, § 3294, subd. (a).) "Fraud" is an intentional misrepresentation, deceit, or concealment of a material fact known by defendant, with intent to deprive a person of property, rights or otherwise cause injury. (Turman v. Turning Point of Cent. Cal., Inc. (2010) 191 Cal.App.4th 53, 63.) Conclusory allegations, devoid of any factual assertions, are insufficient to support a conclusion that parties acted with oppression, fraud or malice. (Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1042.)

Plaintiff argues that the Court once before sustained motion to strike based on Defendant's insufficient basis for punitive damages. (Mot., p. 3.) Plaintiff argues that Defendant once again has filed substantially similar claims and does not plead facts necessary to establish oppression, fraud, or malice. (Ibid.)

In opposition, Defendant argues that because the cause of action for promissory fraud is sufficiently pled, punitive damages are recoverable. (Opp. Strike, pp. 1, 4-6.) As to punitive damages relating to the third cause of action for breach of implied covenant of good faith and fair dealing, Defendant argues that Plaintiff's conduct justifies punitive damages. (Opp. Strike, p. 7.)

In reply, Plaintiff argues that punitive damages must be struck as to the third cause of action for breach of the implied covenant of good faith and fair dealing because it arises from contract and punitive damages are not recoverable in contract. (Reply, p. 2.) Plaintiff argues that punitive damages must also be struck as to the fourth cause of action because the fraud allegations are not sufficiently pled. (Ibid.)

Here, Defendant may recover punitive damages as to the fourth cause of action for promissory fraud because fraud has sufficiently been pled. However, Defendant may not recover punitive damages for the third cause of action for breach of implied covenant of good faith and fair dealing.

The cause of action for breach of implied covenant of good faith and fair dealing rests on the existence of a contract which is the first element of the cause of action. (Merced Irr. Dist. V. County of Mariposa (E.D. Cal. 2013) 941 F.Supp.2d 1237, 1280.) Pursuant to Code of Civil Procedure section 3294, punitive damages can be recovered "[in] an action for the breach of an obligation not arising from contract." (Civ. Code, § 3294(a).)

Accordingly, Plaintiff's motion to strike is GRANTED in part, as to the third cause of action. Plaintiff's motion to strike is DENIED as to the fourth cause of action for promissory fraud.

CONCLUSION
AND ORDER

Plaintiff Got Liens, Inc.'s demurrer as to the fourth cause of action for promissory fraud in the First Amended Cross Complaint is OVERRULED.

Plaintiff's motion to strike punitive damages as to the third cause of action for breach of implied covenant of good faith and fair dealing is GRANTED.

Plaintiff's motion to strike punitive damages as to the fourth cause of action for promissory fraud is DENIED.

MOVING PARTY shall submit a proposed order consistent with this ruling within 10 days from this ruling and provide notice.